IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH-V

C.P.(CAA)/60/(ND)2022
IN
C.A.(CAA)/112/(ND)2021

(Under Section 230-232 of the Companies Act, 2013 read with read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016*)*

In the Matter of Scheme of Arrangement

HT MOBILE SOLUTIONS LIMITED
Registered Office: Hindustan Times House, 2nd Floor, 18-20 Kasturba Gandhi Marg, New Delhi - 110001.

...Transferor Company / Petitioner Company-1

With

HT MEDIA LIMITED
Registered office: 18-20 Kasturba Gandhi Marg, New Delhi – 10001.

... Transferee Company/ Petitioner Company-2

Coram:

JUSTICE TELAPROLU RAJANI, HON'BLE MEMBER (JUDICIAL)

SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

Counsel for Petitioner/Applicant:	Mr. Abhinav Vashisht, Sr. Adv. with Ms. Pooja Mahajan, Ms. Arveena Sharma, Ms. Srishti Kapoor, Advocate.
Counsel for RD	Ms. Shankari Mishra, Advocate.

Counsel for OL	Ms. Hemlata Rawat, Advocate.
Counsel for Income Tax Department	Ms. Vibhooti Malhotra, Mr. Shailendera Singh, Mr. Vijay Deora, Advocate.

Date: 23.02.2023

ORDER

PER: JUSTICE TELAPROLU RAJANI, HON'BLE MEMBER (JUDICIAL)

This petition has been jointly filed by HT Mobile Solutions Limited and HT Media Limited ('Petitioner Companies') under Sections 230 to 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the proposed Scheme of Arrangement between HT Mobile Solutions Limited (Transferor Company/Petitioner Company-1) and HT Media Limited ('Transferee Company'/'Petitioner Company-2'). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company/ Petitioner Company No.1 i.e., HT Mobile Solutions Limited (CIN: U7 4900DL2009PLC187795) was incorporated under the provisions of the Companies Act, 1956 on 19.02.2009, presently having its registered office situated at 18-20 Kasturba Gandhi Marg, New Delhi- 110001.

3. The Transferee Company/ Petitioner Company No.2 i.e., HT Media Limited (CIN: L22121DL2002PLC117874) was incorporated under the provisions of the Companies Act, 1956 on 03.12.2002, presently having its registered office situated at 18-20 Kasturba Gandhi Marg, New Delhi-110001.

4. The Petitioner Companies submits that the proposed scheme of amalgamation of the Transferor Company and Transferee Company would have the following benefits: -

    a. Consolidation of businesses under the Transferee Company/ Applicant No.2 provides an increased capability to offer a wider portfolio of products and services to effectively address change in consumer preferences and market dynamics with a combined ability to integrate, innovate, customize, and bundle the offerings and services of the Transferee Company/ Applicant No.2 and the Transferor Company/ Applicant No. 1 under a single platform and creation of a synergized go to market strategy which shall result in building a sustainable business;
    b. Consolidation of the Transferor Company/ Applicant No. 2 with the Transferee Company/ Applicant No. 1 would also result in simplification of the holding structure;
    c. Reduction in management overlaps and elimination of legal and regulatory compliances & associated costs due to operation of multiple listed and unlisted entities;

d. Optimization of the allocated capital & availability of funds which can be deployed more efficiently to pursue the operational growth opportunities;
e. Consolidation of businesses under the Transferee Company/ Applicant No. 2 thereby resulting in synergies, pooling of financial, managerial, technical, and human resources, thereby creating stronger base for future growth and value accretion for the stakeholders;
f. Consolidation of businesses under the Transferee Company/ Applicant No. 2 thereby resulting in savings of operational costs which has become critical for long term sustainability and will also lead to optimum utilisation of resources;
g. Elimination of the need for inter-company transactions between the Transferor Company/ Applicant No. 1 and Transferee Company/ Applicant No. 2.
h. Post scheme, the Transferee Company/ Applicant No.2 would be in a better position to support and finance organic and inorganic expansion of the businesses;
i. Post scheme, the Transferee Company/ Applicant No. 2 would be in a position to offer a bouquet of media platforms which result in value accretion for all the stakeholders.
j. That the Scheme is proposed for the aforesaid reasons. The Board of Directors and Management of both the Applicant Companies are of opinion that the proposed Scheme is in best interest of both the Companies and their stakeholders.

5. The appointed date as fixed for the proposed scheme of amalgamation means April 01, 2020 or such other date as may be directed by any appropriate authority being the date with effect from which this scheme shall be deemed to be effective.

6. A perusal of the petition discloses that the first motion application bearing CA (CAA)/112/ND/2021 was filed by the Petitioner Company. Based on the averments made in the said application the Tribunal vide order dated 22.12.2021 read with order dated 03.02.2022 allowed the first motion application and directed Applicant Companies along with Digicontent Limited to convene a meeting of Equity Shareholders. This Hon'ble Tribunal further directed the Transferee Company to convene meeting of Unsecured Creditors and Secured Creditors as per the provisions of Section 230-232 of the Companies Act, 2013.

7. The Petitioner Companies submits that the Petitioner Companies had complied with the First Motion order in the following manner:-

   a) On 25 March 2022 the Transferor Company (M/s. HT Mobile Solutions Limited) conducted the meeting of its equity

shareholders for approval of the Scheme and the Scheme has been approved by requisite majority of the equity shareholders of the Transferor Company. The report of the Chairman to this effect has been filed with this Hon'ble Tribunal on 28 March 2022.

b) On 28 March 2022 the Transferee Company conducted meeting of its Unsecured and Secured Creditors for approval of the Scheme and on 29 March 2022 the Transferee Company conducted meeting of its equity shareholders for approval of the Scheme. The Scheme has been approved by the requisite majority of the equity shareholders (including public shareholders), unsecured creditors and secured creditors of Transferee Company. The report of the Chairman to this effect has been filed with this Hon'ble Tribunal on 11 April 2022.

c) On 29 March 2022 Digicontent Limited, one of the other Transferor Company under the Scheme conducted meeting of its equity shareholders for approval of the Scheme. However, the Scheme was not approved by the requisite majority of the equity shareholders of Digicontent Limited. The report of the Chairman to this effect is filed with this Hon'ble Tribunal on 11 April 2022.

8. From the submissions of the Petitioner Companies and upon perusal of documents, we observe that the first motion Company Scheme Application i.e., C.A.(CAA)/112/2021 was jointly filled by

3 Applicant Companies i.e., M/s. Digicontent Limited, M/s. HT Mobile Solutions Limited and M/s. HT Media Limited. However, since the shareholders of one of the Applicant Company i.e., M/s. Digicontent Limited had not approved the Scheme, the remaining Petitioner Companies i.e., ,M/s. HT Mobile Solutions Limited and M/s. HT Media Limited had jointly filed the Company Scheme Petition before this Tribunal seeking the approval of the proposed scheme of Amalgamation. However, the proposed detailed 'Scheme of Amalgamation' between the present petitioner companies for which sanction of this Tribunal is sought (annexed as Annexure-1 at pg. 52-93 of the Company Scheme Petition) relates to amalgamation between M/s. Digicontent Limited (Transferor Company No.1), M/s. Next Mediaworks Limited (Transferor Company No.2 jurisdiction in Mumbai), M/s. HT Mobile Solutions Limited (Transferor Company No.3) with HT Media Limited (Transferee Company). However, as the shareholders of M/s. Digicontent Limited had rejected the proposed scheme, it cannot be comprehended, how the how the approval can be granted to the Scheme which involves all three companies.

9. Accordingly, we find no merit in sanctioning the proposed scheme of amalgamation between the Petitioner Companies. The present Company Scheme Application i.e., C.P.(CAA)/60(ND)2022 being devoid of merits stands dismissed. No orders as to costs.

Let copy of the order be served to the parties.

Sd/-
(RAHUL BHATNAGAR)
MEMBER (TECHNICAL)

Sd/-
(TELAPROLU RAJANI)
MEMBER (JUDICIAL)